

Accelerating the Palm Economy

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Agenda

- Why Palm Ventures was formed
- What are we looking for?
- What can we do for you?
- How do you work with us?

3 Things We All Learned From the Dot Com Meltdown

1. Consumers won't change their buying habits without a compelling reason

2. A wacky company name is not enough to make a market

3. Money alone won't make a company successful!

What It Takes

- A real problem, and a good solution
- Paying customers
- Team with experience and ability
- A company, not just a product
- Strong, active partners
- A little luck
- Market leverage

- Oh…and some money

The Palm Economy Delivers Leverage

- The starting point comes from the basic Palm™ handheld
  - Appeals to a broad cross section of people
- The leverage comes from enabling others to support the platform
  - Customers enjoyed more world-class solutions
  - Developers found entire market categories to pursue
- The result has been the fastest growing digital consumer product ever!

The Palm Economy Today

- Shifting to meet the new demands of the market
  - The enterprise is embracing the notion of mobile computing
  - Wireless technologies are enabling new solutions
- Multiple points of leverage
  - Over 9 million Palm Powered™ devices
  - MyPalm™ mobile portal
  - 125,000 developers creating Palm OS® solutions
- We are intent on accelerating the growth of this already fast-growing market!

Key Elements of the Palm Economy

- A rich array of devices to address an ever expanding customer base
- Core applications to stimulate broad demand
- Tools to accelerate development
- An open development platform
- Multiple points of connectivity

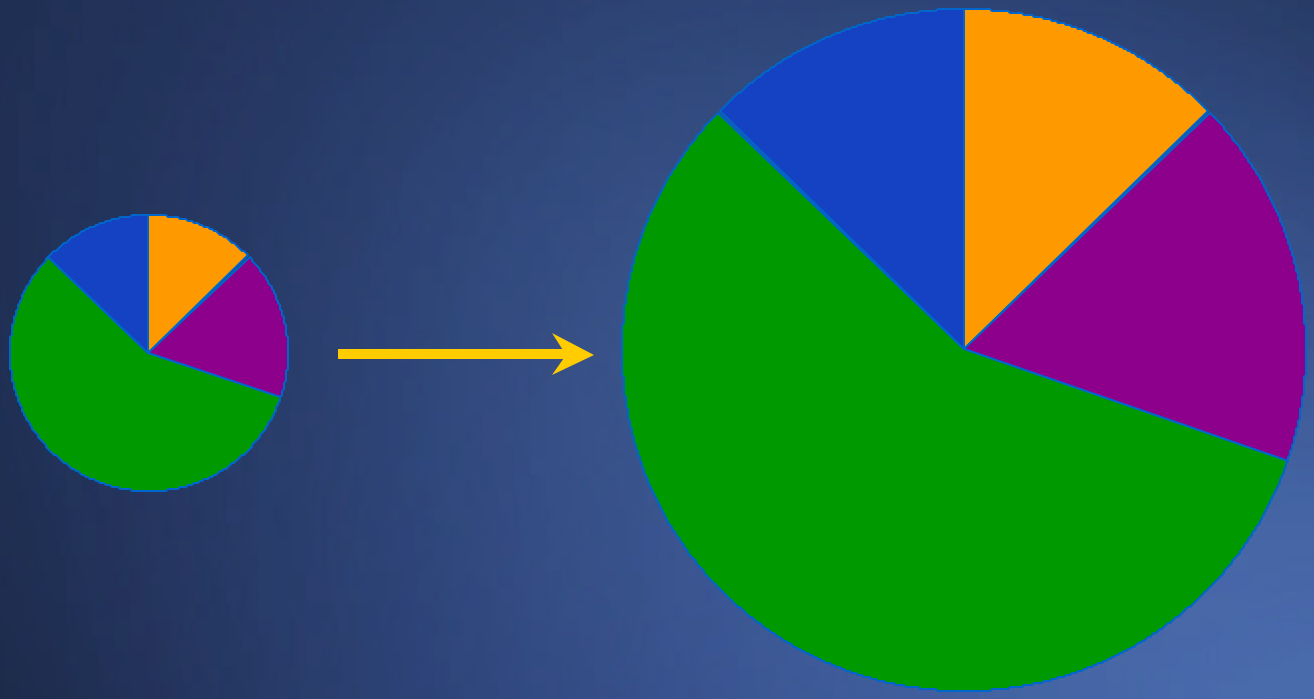
Accelerating the Palm Economy

- Palm Ventures is a catalyst for the continuing growth of the Palm Economy
  - Invest in basic tools or enabling technology which can stimulate development
  - Invest in infrastructure build out to evolve connectivity, synchronization and communication
  - Invest in core applications which can open new markets



Investment Philosophy

Market growth over market share growth



Specific Areas of Interest

- Wireless infrastructure development
  - Make it easier to deploy and deliver wireless applications
- Wireless content development
  - Finding the killer application for wireless
- Enterprise solutions
  - Developer tools
  - Middleware and BTFW offerings
- Key vertical segments
  - Education
  - Entertainment/Leisure
  - Financial
  - Healthcare

Every Handheld Device



Connected Wirelessly to the Internet

Will Mean Rapid Buildout of the the Wireless Infrastructure

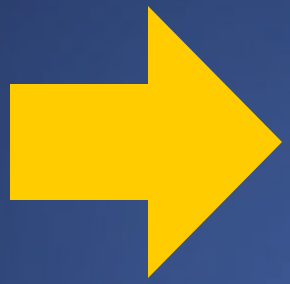
The Critical Problems

- Low bandwidth
- Intermittent connections
- Costly service
- Integration with multiple wireless “networks”

The Wireless Internet Environment Will Require New Applications

Old Paradigm

- Organizer, Notebooks, Cellphones
- Localized Users
- Early Adopters
- Isolated Users
- Information Pull



New Paradigm

- Integrated functions and applications
- Geographic Independence
- Ubiquitous User Population
- Digital Interaction
- Information Push

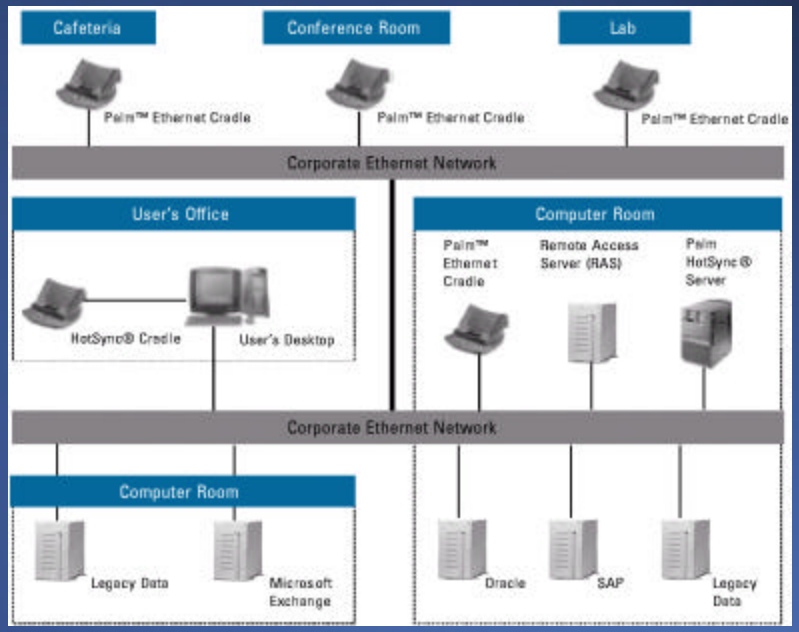
The Next Killer App

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Enterprise Solutions

Multiple Connection Points Mean Multiple Application Requirements





Key Vertical Segments

- E-health
  - Physicians—the ultimate mobile professional
  - Consumers—a new market category
- Education
  - A computer in every students' hand
- Entertainment/Leisure
  - Lifestyle enhancement
  - Social interaction
- Financial
  - User managed services
  - New ways to deliver better customer service

Investment Strategy

- Ideal investments are post product development go to market stage
- Co invest with other Venture firms
- Focussed on investments which can grow the Palm Economy

Investment Profile

- What are we looking for in an investment candidate?
  - Market shifting plays
  - Potential to be a big player in their category
  - Good companies, not just good products
  - Leverage for the Palm Economy

The Analysis Process

- Who do we choose
- How do we choose
- What is the process

Palm Ventures Advantages

- Investments in appropriate Palm Economy partners
- Deep understanding of the marketplace
- Assistance in navigating through Palm, Inc. and within the overall Palm Economy partners
- Leverage of the Palm Brand

Reaching Us

http://www.palm.com/about/venture1.html


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